

TUTORIAL 2

Trading Framework Series for Students

Scalping and Mean Reversion

How to treat scalping as a controlled process, not fast gambling

Purpose

Students learn why scalping is most beginner-friendly inside clear mean-reverting ranges, why one bad trade can erase many small wins, and why exits must be defined before entries.

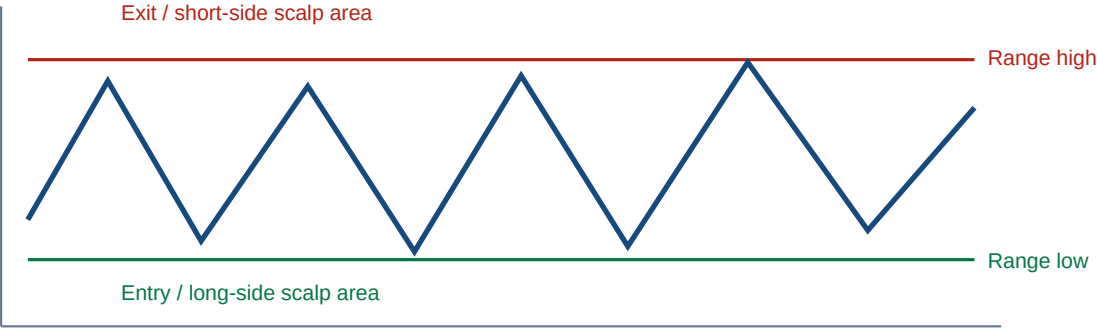
Prepared for student use. Built from the May 13, 2026 lesson transcript and supplemented with current external references verified May 15, 2026.

This tutorial is for education and process-building. It is not a recommendation to buy, sell, short, use margin, or trade any specific security.

Quick Reference

Use this page before opening a chart. The detailed explanations and worksheet follow.

Concept	Student meaning	Use in practice
Scalping	Small, fast trades that seek limited movement.	Requires a precise exit and strict stop.
Mean reversion	Price repeatedly returns toward the middle of a range.	Scalps are planned near range extremes, not in the middle.
Risk asymmetry	Many small wins can be erased by one undisciplined loss.	Never widen the stop because the trade is small.
Liquidity/spread	Execution cost matters more on small targets.	Avoid thin, wide-spread conditions.



The range is the classroom. Risk is managed by invalidation outside the range.

The Lesson in Professional Language

The session framed scalping as possible in many markets but most appropriate for beginners in mean-reverting conditions. In a range, the student can practice buying near the lower boundary, selling near the upper boundary, and stopping if price breaks the range.

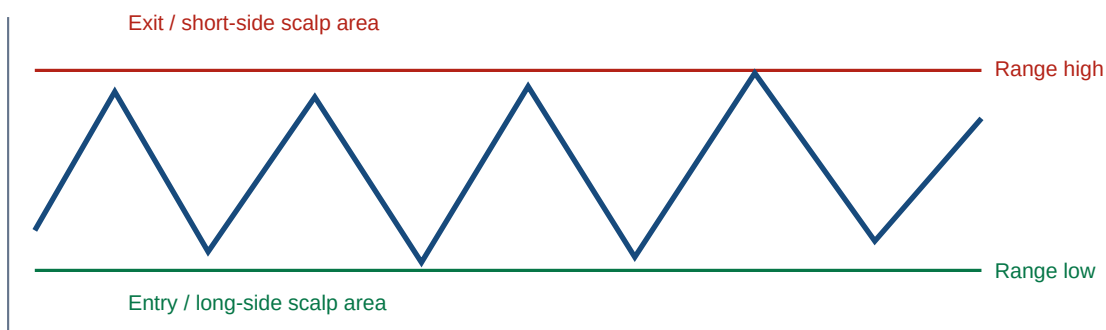
The instructor also emphasized that scalping is stressful and that one bad trade can take away many small scalp wins. That warning should be made explicit in student material because scalping creates frequent decision pressure.

Core rule

A scalp is not a tiny investment. It is a small, defined trade with a planned entry, planned exit, planned stop, and short time horizon.

The Range-Based Scalp Model

In a mean-reverting range, price is repeatedly accepted inside the same area. Students should mark three zones: range high, range low, and middle/no-trade zone. The strongest beginner scalps usually occur near the edge of the range, not in the middle.



The range is the classroom. Risk is managed by invalidation outside the range.

Zone	What it means	Student action
Range low	Buyers repeatedly defend the area.	Look for a controlled long scalp only after a trigger appears.
Range middle	Risk/reward is usually poor.	Do not force a trade. Wait for edge or breakout.
Range high	Sellers repeatedly reject the area.	Look for exit, profit taking, or short-side scalp only if allowed by rules.
Range break	The scalp environment may be ending.	Stop scalping the range and reassess for breakout/momentum.

Risk Rules for Student Scalpers

The SEC warns that day trading can involve leverage, margin, severe losses, and pressure from claims of easy profits. That source should be assigned before any student practices scalping with real capital.

For U.S. margin accounts, FINRA has adopted new intraday margin standards that become effective June 4, 2026, with an implementation phase-in period. Students must still check their own broker rules because access to margin and intraday buying power can vary by firm.

- Use paper trading until the student can execute the same plan repeatedly without moving stops.
- Know the spread before entry; a wide spread can destroy a small target.
- Keep a hard maximum loss per trade and per session.
- Do not scalp during emotional states: revenge trading, boredom, or fear of missing out.
- Stop trading the range if price closes outside the range and holds there.

The Scalp Decision Tree

Question	Why it matters	Pass / fail standard
Where is the range?	Scalping needs location.	At least two clear reactions at high and low.
Where is the entry?	Avoid chasing.	Entry is near an edge, VWAP, SMA, or structure - not random.
Where is the exit?	Small targets need discipline.	Target is written before entry.
Where is the stop?	One bad trade can erase many wins.	Stop is also written before entry.
When does scalp become breakout?	Regime can change.	If range breaks and holds, stop treating it as range.

Classroom Drill

Students paper-trade three range scalps. For each one, they must write: entry, target, stop, reason for entry, and what would convert the range into a breakout environment.

Instructor review

Do not grade by profit first. Grade whether the student followed the written plan. Profit without process is not yet skill.

Student Worksheet

Where is the range high?

Where is the range low?

Where is the no-trade middle?

What is the scalp entry trigger?

What is the exact stop?

What is the exact target?

What condition ends the scalping thesis?

Was the spread/liquidity acceptable for a small target?

Review rule: A worksheet is complete only when the student can explain the trade idea, the invalidation, and the reason the chosen strategy fits the current regime.

Sources and Further Study

Session source. May 13, 2026 transcript: scalping in mean reversion and one-bad-trade risk at 1:16:22-1:18:14; exit-before-entry questioning at 1:55:21-1:57:07.

External sources. These were selected to add neutral definitions, risk context, and professional vocabulary to the lesson. Use them as assigned readings, not as trade signals.

[S1] U.S. Securities and Exchange Commission: [Day Trading: Your Dollars at Risk](#)

How to use it: Use as required risk reading before students practice scalping or margin day trading.

[S2] FINRA Investor Insights: [Understanding the New Intraday Margin Requirements](#)

How to use it: Use for current U.S. margin-rule context, including the June 4, 2026 transition to intraday margin standards.

[S3] FINRA: [Regulatory Notice 26-10](#)

How to use it: Use for the detailed regulatory source behind the new intraday margin framework and phase-in period.

[S4] Fidelity Learning Center: [What Is Support and Resistance?](#)

How to use it: Use for neutral language on support/resistance and the role reversal concept after a level breaks.

Important

Technical tools are context tools, not guarantees. Each student should paper-trade the workflow, record outcomes, and review losses before risking real capital.